PAPERBOY

THURSDAY, NOVEMBER 5, 2026

Tuesday's result repriced two wars and one trade: oil fell more than 8% on a sentence from the White House, the Dow had its best day since April 2025, and the chips it left behind were sold off across Asia.

AI

Voters turned down data centres in 37 of 38 local contests

WHAT HAPPENED

Of 38 local ballot contests with complete counts on Tuesday, data-centre development lost 37, on preliminary figures from Redbud Consulting reported by Fortune. In Piqua, Ohio, a town of about 20,000, voters recalled the mayor and two city commissioners who had backed Meta's planned $1bn, up-to-1.4GW campus; Ohio public radio confirmed the recall independently. At least 14 Ohio municipalities approved bans or restrictions. In Texas, home to more than 400 facilities, Gina Hinojosa unseated Greg Abbott having run on a moratorium. The 37-of-38 count is one consultancy's preliminary tally; outlets counting different universes get different totals.

WHAT IT MEANS

The industry's quiet assumption was that a town wanting jobs would take the load. Thirty-seven losses in a night is a real constraint on the $720-740bn of hyperscaler capex projected for this year, and it is already priced — Asian chip stocks fell on Thursday partly on fears of tighter US siting rules.

WATCH NEXT

Ohio and Texas legislative sessions in January, and whether Hinojosa's moratorium survives the statehouse.

Google threatened to switch off Search for schools that refused Gemini, then backed down in a day

WHAT HAPPENED

Google told schools using its K-12 software on Tuesday that they would lose Search unless they also opted into its AI tools, with students at non-opting schools shown a message saying Search was unavailable. Its education vice-president, Chris Phillips, told the New York Times that "Search and AI are deeply integrated." By Wednesday the company had reversed: Gemini, Gemini Notebook and Search will all be off by default, each enabled separately. Bernie Sanders called the policy extortion; Lina Khan, the former FTC chair, cited "the danger of allowing an unregulated monopolist to control an essential service" (TechCrunch).

WHAT IT MEANS

The leverage was real — millions of students are required to use Chromebooks, so switching search engines is not a choice a district can make. That is also why the reversal took 24 hours: the policy demonstrated the tying argument antitrust plaintiffs have spent years trying to prove.

WATCH NEXT

Whether any state attorney general opens a file on it, and DuckDuckGo's pitch to districts.

Meta buys an agent orchestrator while Apple caps what its engineers may spend on agents

WHAT HAPPENED

Meta confirmed on Wednesday it has acquired Conductor, a 2024-founded startup that deploys multiple coding agents into parallel workspaces using models from Anthropic and OpenAI rather than its own. Terms were undisclosed; founder Charlie Holtz said "Conductor is joining Meta" and will work with Alexandr Wang and Nat Friedman at Superintelligence Labs. Conductor's cloud service shuts on 20 November. The same day Bloomberg reported Apple has cut the daily budget its engineers may spend on AI tools from $300 to $200, with further cuts to $100 planned and $25 under consideration outside engineering. That is one outlet, and Apple has not commented.

WHAT IT MEANS

Parallel agents are the most token-hungry way yet invented to write software, and these are one story from opposite ends: the capability is worth buying, the bill is worth capping. Apple is the cheapest proxy available for what agentic coding costs an employer per seat.

WATCH NEXT

Whether another large employer publishes a per-seat AI cap, and what Meta ships from Conductor early next year.

SEMICONDUCTORS

Qualcomm beat and fell 9%: handsets down 26%, costs up everywhere

WHAT HAPPENED

Qualcomm's fiscal fourth-quarter release, out after Wednesday's close, showed GAAP revenue of $10,322m and $10,442m non-GAAP, with diluted earnings of $1.17 a share GAAP and $2.17 non-GAAP. Handset revenue fell 26% year on year to $5,137m — the release's own wording — while automotive rose 89% to a record $1,990m and IoT 4% to $1,888m. Licensing fell 7% to $1,304m. Current-quarter guidance is $10.4bn-$11.2bn of revenue and $2.15-$2.35 non-GAAP. The company reiterated a $5bn fiscal-2027 data-centre revenue target and flagged cost inflation across wafers, assembly, test, advanced packaging and memory. The shares fell roughly 8-9% after hours.

WHAT IT MEANS

The beat was on the quarter; the worry is 2027. A 26% handset decline is the Apple modem transition arriving on schedule, and the offset being sold — automotive, IoT, a $5bn data-centre business that barely exists yet — has to grow into a gap that is already open.

WATCH NEXT

The fiscal first quarter in late January, and whether that $5bn target gets a quarterly ramp number attached.

Seoul's chip complex had its worst day in months and tripped a sell-side curb

WHAT HAPPENED

The KOSPI closed Thursday at 5,383.80, down about 300 points or 5.28%, with sell-side sidecars triggering on the main board at 10:16am and on the KOSDAQ in the afternoon. Samsung Electronics closed down 7.57% at 201,500 won, SK Hynix down 9.46% at 1,264,000 won. Tokyo's Nikkei 225 fell 1.7% to a three-month low while the broader TOPIX rose 1.2%; Advantest lost 14.7%, Lasertec 14.2%, Kioxia more than 13%. Money rotated rather than left — Hong Kong's Hang Seng rose 3.6%. The stated trigger was fear of tighter US data-centre regulation, which is one outlet's attribution and names no measure.

WHAT IT MEANS

Qualcomm and Arm both beat and both were read as evidence the cycle is cooling, which tells you the market has stopped paying for in-line results. The Chinese rotation is the tell: an AI-hardware event, not a risk-off one.

WATCH NEXT

Whether the Korean names stabilise on Friday, and any actual US rulemaking behind the regulation fear.

Arm's record quarter was built on licences, not royalties

WHAT HAPPENED

Arm reported second-quarter revenue of $1,443m, up 27% year on year, in its shareholder letter filed with the SEC — a record second quarter, the company says, rather than an all-time record. Non-GAAP diluted earnings were $0.52 a share against consensus of about $0.47-$0.48; GAAP earnings were $0.12. The split is the story: licensing and other revenue rose 50% to $773m while royalties rose 8% to $670m. Guidance is $1.54bn of revenue, give or take $50m, and $0.56 non-GAAP, give or take $0.04. The shares fell more than 3% in Thursday pre-market trading.

WHAT IT MEANS

Royalties are the recurring annuity; licences are lumpy, front-loaded and a bet on chips that do not exist yet. Eight per cent royalty growth, during the largest silicon build-out in history, is a harder number to explain than the 27% headline.

WATCH NEXT

Royalty growth next quarter, and whether Micron answers Bloomberg's report that it has suspended a $4.5bn Taiwan fab over a labour dispute — a claim Reuters said it could not verify and Micron has not addressed. Micron closed down 7.00% at $795.23 on Wednesday.

BUSINESS

The Dow's best day since April 2025, and the chips did not come along

WHAT HAPPENED

Wall Street repriced a divided government on Wednesday. At the close the Dow Jones Industrial Average stood at 53,356.12, up 1,569.40 points or 3.03% — the biggest post-midterm rally in 44 years, by one calculation, and the best single day since April 2025. The S and P 500 closed at 7,688.62, up 1.58%, the Nasdaq Composite at 25,736.51, up 1.44%. The internals were the point: Apple closed up 5.3% at a record $349.51 while Nvidia fell 3.2% to $200.13. Treasury yields fell to 4.58% at two years, 4.90% at ten and 5.28% at thirty, from 4.61, 4.95 and 5.32 on Tuesday.

WHAT IT MEANS

A 3% Dow day alongside a 3% fall in the semiconductor index is not a relief rally, it is a rotation. Cheaper oil, lower yields and a Congress that cannot pass much are good for everything not priced for an AI build-out — and that build-out just acquired a siting problem at the ballot box.

WATCH NEXT

Thursday's open after the Asian chip rout, and the 8-9 December Federal Reserve meeting.

Oil fell more than 8% in a session on four words from the White House

WHAT HAPPENED

Front-month December WTI settled on Wednesday at $88.12 a barrel, down $7.97 or 8.3%. January Brent settled at $94.62, down about 8.7% and its lowest settlement since 31 August, after an intraday low of $93.22. The driver was Trump saying the United States has no immediate plans to strike Iran, reported Wednesday, alongside Vice-President Vance's post that "the reason we lost is the war". Mind the contract roll: Brent briefly topped $117 last Friday, but on the December contract, so that high and Tuesday's $103.60 settlement are not one continuous series.

WHAT IT MEANS

The Iran risk premium is now a function of one man's stated intentions, which is how 8% comes out in a session with nothing physical changing in the Gulf. Cheaper petrol is also the administration's own explanation for Tuesday, which makes it a political objective as well as a market outcome.

WATCH NEXT

Whether Qatar's mediation produces a dated meeting rather than another draft, and the next OPEC+ ministerial.

Private payrolls added 86,000 and services are still paying up

WHAT HAPPENED

The ADP National Employment Report put October private hiring at 86,000, and revised September down from 90,000 to 86,000. Professional and business services shed 27,000 jobs, a third consecutive decline; trade, transport and utilities added 39,000. Pay rose 3.0% for job-stayers and 4.8% for job-changers — which ADP's chief economist, Nela Richardson, said was "the fastest pace since March 2024". The same morning the ISM services index came in at 54.5%, down 0.4 point, with employment at 51.4% and prices at 73%. The Bureau of Labor Statistics published nothing on Wednesday or Thursday.

WHAT IT MEANS

Eighty-six thousand is a soft number with hot wages behind it, and 73% on services prices is not a cooling economy. ISM's chair put tariffs and fuel costs top of what respondents complained about — the awkward combination for a Fed with two voters already wanting a hike.

WATCH NEXT

The Bank of England's decision and vote split at noon GMT today, and the December FOMC.

STARTUPS

Revolut is marked at $115bn without raising a penny

WHAT HAPPENED

Revolut completed a secondary share sale pricing its stock at about $2,017 a share and confirming a $115bn valuation, making it Europe's most valuable private technology company. The deal size was not disclosed and it primarily provides liquidity to employees and existing shareholders rather than new capital for the company. Buyers were led by Glade Brook Capital Partners, Coatue and Durable Capital Partners. The mark is up roughly 53% from the $75bn set in last year's secondaries, which was itself up from $45bn in 2024. Revolut reports more than 65 million customers and is targeting 100 million by mid-2027. Chief executive Nik Storonsky said: "Every bank we launch means more people get a better way to manage their money, wherever they live."

WHAT IT MEANS

A secondary at a 53% uplift with no primary raise says the cap table has more demand than the balance sheet has need — the cleanest possible signal before an IPO, and the cheapest way to keep staff from leaving without diluting anyone.

WATCH NEXT

Whether a listing venue gets named, and the 100 million customer target.

Microsoft walked away from a lease at Britain's largest AI data centre

WHAT HAPPENED

Microsoft cancelled a deal to lease compute capacity from the UK neocloud Nscale at its Essex site — the country's largest AI data centre — after reports that the site was unlikely to have a power supply before 2030. Oyvind Eriksen, chief executive of Aker, which owns about 23% of Nscale, called it "one, relatively speaking, minor contract in a bigger portfolio" and said the termination was expected. Aker's stake is valued near $3.31bn against the $14.6bn Nscale carried in its March Series C, on an initial investment of about $350m. Nscale is targeting a $35bn valuation in a planned US listing. That is one outlet, and the contract value is undisclosed.

WHAT IT MEANS

The binding constraint on the neocloud model is not chips or capital, it is grid connections — and a 2030 power date makes a 2027 lease worthless. Gartner expects 80% of neoclouds to stop operating independently by 2030, which is the number Nscale now has to argue with on a roadshow.

WATCH NEXT

The IPO timetable, and whether the reported Anthropic deal at Nscale's West Virginia site lands.

Europe's round tape: electric aircraft, fluorine without acid, and batteries that trade

WHAT HAPPENED

Munich's VAERIDION raised EUR 30m in a Series A2 co-led by SHIFT Invest and Invest-NL, with World Fund, Project A and Vsquared following, for a nine-seat all-electric aircraft with up to 400km of range, targeting service in 2030; it has also won an EUR 94.5m EU Innovation Fund grant. Oxford spin-out FluoRok raised an oversubscribed $30m Series A co-led by the Orano Venture Fund and Supernova Invest to make fluorochemicals without hydrogen fluoride, starting with pharma intermediates and lithium hexafluorophosphate for battery electrolytes. Stockholm's Green Voltis took EUR 13.5m from Lochpine Capital, its sole investor, for AI that optimises battery storage and trades power, managing over 1.2GWh across ten countries. STATION F says its campus startups raised a record EUR 2bn this year.

WHAT IT MEANS

All three are picks-and-shovels for electrification rather than applications on top of someone else's model, which is where European deep tech has always been least disadvantaged. The Green Voltis pipeline includes 120MW of Scandinavian power-to-compute — batteries and data centres are becoming the same trade.

WATCH NEXT

VAERIDION's first conforming aircraft, and whether FluoRok reaches industrial scale on this round.

US

Two Senate seats are still uncounted, and both moved toward the Democrats

WHAT HAPPENED

In Mississippi, Scott Colom leads Cindy Hyde-Smith 464,926 to 463,788 — 1,138 votes, at 96% of the expected vote, unchanged since Wednesday evening. The margin has been reported at 28, 43, 65 and 1,138 inside a day, so the timestamp matters more than the number. Mississippi has no recount law: a loser's route is a ballot-box examination after certification, then litigation. Mail ballots postmarked by election day count until 5pm on 10 November — the grace period the Supreme Court upheld 5-4 in June in *Watson v. Republican National Committee* — and the secretary of state declares results on 3 December. In Alaska, Mary Peltola leads Dan Sullivan by 637 votes at 75% of the expected vote, having been 2,470 behind on Wednesday morning; the state has published nothing since 1:09pm Wednesday.

WHAT IT MEANS

Nobody has called either race and nobody should. The Associated Press projects Democrats hold at least 54 Senate seats; no outlet has published a House seat total — the only figure in circulation is Jeffries' own projection of at least 255 — and no post-election national turnout figure exists at all.

WATCH NEXT

Alaska count updates on 10, 13 and 18 November, certification targeted for 25 November; Mississippi's ballot deadline on 10 November.

Johnson will not lead House Republicans, and two men want the job

WHAT HAPPENED

Mike Johnson told colleagues in a letter dated Wednesday that he will not seek to lead House Republicans in the next Congress. He is not leaving Congress — he won re-election in Louisiana's fourth district on Tuesday — and the letter gives family as the reason: "I believe the time has come for me to give them more of the attention and presence they so richly deserve," he wrote. He makes the decision, he added, "with a heart full of gratitude and an abiding sense of pride in what we have accomplished together." Steve Scalise and Jim Jordan both formally declared for minority leader the same day.

WHAT IT MEANS

A speaker who loses the chamber rarely survives as leader, so the contest is the interesting part: Scalise is the continuity candidate and Jordan the confrontation candidate, and the caucus choosing between them is choosing what opposition looks like for two years.

WATCH NEXT

House Republicans vote on 10 November, and whether Johnson serves out his term.

Schumer says he is staying, and the lame duck has an 11 December cliff

WHAT HAPPENED

Asked on Wednesday at the Democratic Senatorial Campaign Committee whether he would lead the new majority, Chuck Schumer said: "I'll be re-elected as majority leader." No challenger has emerged and no sitting Democratic senator has publicly opposed him; at least four senators-elect — Troy Jackson, Adam Hamilton, Peggy Flanagan and Juliana Stratton — say they will not back him. Roll Call, alone, reports the caucus votes in early December. The arithmetic may shift first: Sherrod Brown won a special election for JD Vance's old seat and could be sworn in as early as 15 December, and an Oklahoma attorney general's opinion of 29 October lets that state's winner be seated on certification rather than 3 January.

WHAT IT MEANS

Two seats seated early matter in a chamber this close. Government funding lapses after 11 December under September's continuing resolution, so the cliff lands mid-handover, with an outgoing Republican majority and an incoming Democratic one each able to blame the other.

WATCH NEXT

The House returns to votes on 9 November; funding expires 11 December.

WORLD POLITICS

Israel's ultra-Orthodox parties recommended nobody, and Herzog still has no nominee

WHAT HAPPENED

President Herzog accepted the certified results on Wednesday and began two days of consultations, smallest factions first and Likud last, at 8:30pm Thursday Israel time. The new fact is that United Torah Judaism's seven seats withheld a recommendation from both candidates: Degel HaTorah's four announced it on the instruction of Rabbis Dov Landau and Moshe Hillel Hirsch, saying its sole priority is yeshiva-student status; Agudat Yisrael's three followed on Thursday morning. Religious Zionism's six recommended Netanyahu, Yisrael Beytenu's seven Eisenkot. Whoever Herzog designates gets 28 days, extendable by up to 14.

WHAT IT MEANS

Netanyahu's bloc was 53 of 120 before the Haredi abstention. Eisenkot's path runs through parties that have spent a decade refusing to sit with each other, which is why the likeliest outcome of a 28-day clock is a request for the extension.

WATCH NEXT

Herzog's designation, expected within days; the Knesset is sworn in on 10 November.

Forty-two bodies out of a school in Komyshuvakha, and Russia has said nothing

WHAT HAPPENED

Ukraine's national police said on Thursday, the fourth day of the search, that 42 bodies had been recovered from the rubble of a school in Komyshuvakha, Zaporizhzhia oblast, with 33 people still possibly trapped (Interfax-Ukraine). Residents collected humanitarian aid there weekly. Officials say Monday's strike began with KAB-500 glide bombs and then a three-tonne FAB-3000, and that nine further bombs hit the shelter where survivors had taken cover, killing rescuers and police. The toll has risen daily from 26. No Russian statement on the strike has been found.

WHAT IT MEANS

The second strike on a known aid distribution point is the part that outlives the news cycle, because it is the kind of fact that ends up in a case file rather than a communique. Kyiv takes it into next week's talks with a count still rising.

WATCH NEXT

Ukraine's delegation discussed security guarantees with the United States, Britain, France, Germany and NATO in Brussels on Thursday, before the 10-11 November Abu Dhabi round that Zelensky prepared in a 90-minute call with Steve Witkoff and Jared Kushner.

Tehran says three vessels are burning; nobody else can see them

WHAT HAPPENED

The Revolutionary Guard announced early Thursday that two oil tankers and a tugboat had caught fire in three separate incidents in the Strait of Hormuz, that one tanker on what it called an illegal southern passageway had struck a mine, and that a tug sent to the first fire then burned. It named no vessels and gave no casualties, and there is no independent confirmation — no UKMTO advisory, no operator, no insurer. Earlier incidents in the strait were named and corroborated; these are not. Separately Seoul decided on Thursday to roughly double its anti-piracy unit's patrol radius, to 1,200 nautical miles, adding a P-8A aircraft and mine-clearing gear barred from monitoring Iranian waters or the strait's interior.

WHAT IT MEANS

An unverifiable mine claim is itself a weapon: it lifts war-risk premiums without anything having to be done. Korea's deployment is the opposite signal — an ally that spent nine months refusing to help doing the smallest visible thing available, after being told consequences were coming.

WATCH NEXT

A Qatari draft went to Tehran on 30 October and a senior Iranian official called it unacceptable; watch for a dated meeting rather than another draft. Seoul's cabinet takes the mandate next week, then parliament.

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